



12/5/2023

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City of San Juan Capistrano Agenda Report

TO: Honorable Mayor and Members of the City Council

FROM: Benjamin Siegel, City Manager

SUBMITTED BY: Ken Al-Imam, Chief Financial Officer

PREPARED BY: Michelle Short, Finance Manager

DATE: December 5, 2023

SUBJECT: Annual Financial Report of Development Impact Fees Pursuant to Government Code Section 66006 (AB 1600) for the Fiscal Year Ended June 30, 2023

RECOMMENDATION:

Approve the attached Annual Financial Report of Development Impact Fees and make the findings contained herein.

EXECUTIVE SUMMARY:

The Annual Financial Report of Development Impact Fees for the fiscal year ended June 30, 2023, is provided to City Council as required by California Government Code Section 66006, which was enacted by Assembly Bill No. 1600 (AB 1600). This report (Attachment 1) provides financial information regarding the following funds of the City: Park-In-Lieu Fee Fund, Drainage Fee Fund, Capistrano Circulation Fee Program Fund (CCFP) and Housing-In-Lieu Fee Fund. All development impact fees have been spent or have been earmarked for spending as of June 30, 2023. Consequently, there are no funds that are required by California Government Code Section 66006 to be refunded to property owners.

DISCUSSION/ANALYSIS:

AB 1600 requires that local agencies annually report certain financial information related to Capital Improvement Projects (streets, transit facilities, parks, storm drains, etc.) that have been funded by development impact fees.

AB 1600 enacted Government Code Sections 66000-66008 that generally contain four requirements:

1. A local jurisdiction must follow the process set forth in the bill and make certain determinations regarding the purpose and use of each development impact fee and establish a “nexus” or connection between a development project or class of projects and the public improvement being financed with the fee.
2. The fee revenue must be segregated from the General Fund in order to avoid the commingling of public improvement fees and General Fund revenues.
3. If the City has had possession of funds generated by development impact fees for five years or more, and has not spent such funds or committed such funds to a project, it must make certain findings describing the continuing need to retain those funds. If the local jurisdiction is unable to make the findings required by state law, the City must refund the fees to property owners.
4. An annual report must be made of fees collected, interest earned, projects on which fees were expended, and any transfers or loans from the fee account. This report must be presented to the agency’s governing board within 180 days of the end of the fiscal year.

As demonstrated in Attachment 1, the Park-In-Lieu Fee Fund and CCFP Fund hold fees that remain unexpended after five years of receipt. AB 1600 provides that fees that remain unexpended after five years of receipt are not required to be refunded if they are committed to projects, or a finding has been made that there is a continuing need to retain these funds. The Park-In-Lieu Fee Fund and CCFP Fund hold amounts that have been committed to specified capital improvement projects for which funds were appropriated in the City’s Fiscal Year 2023-24 Amended Budget (Attachment 2).

Also, \$15,425,000 of CCFP funds are currently programmed to be used beginning in Fiscal Year 2023-24 for construction of the La Novia Bridget Widening Project (CIP 24106).

The findings required by AB 1600 to be made with respect to unexpended fees as of June 30, 2023, are set forth below:

1. The purposes for which these fees have been collected are for the projects identified in the Annual Financial Report of Development Impact Fees and related attachments.
2. There is a reasonable relationship between the fees and the purposes for which they have been collected. The fees are necessary to mitigate the impacts of development.
3. For projects that remain incomplete as of June 30, 2023, the approximate timing for the completion of these projects is set forth in the Annual Financial Report of Development Impact Fees and related attachments. The source of funding to

complete these projects are existing reserves of the related funds and development impact fees anticipated to be collected in future fiscal years in amounts sufficient to complete these projects.

4. Funds held in the Park In-Lieu Fee Fund and CCFP Fund as of June 30, 2023, have been committed to specified capital projects.

Based on the foregoing, the City is not required to refund any fees collected pursuant to the requirements of AB 1600.

FISCAL IMPACT:

As of June 30, 2023, no refunds of development impact fees are required by the provisions of AB 1600.

ENVIRONMENTAL IMPACT:

Not applicable.

PRIOR CITY COUNCIL REVIEW:

Not applicable.

COMMISSION/BOARD REVIEW AND RECOMMENDATIONS:

This item does not go through the Commission/Committee review process.

NOTIFICATION:

Adam Wood, Building Industry Association of Orange County

ATTACHMENTS:

Attachment 1 – Annual Financial Report of Developer Impact Fees

Attachment 2 – Fiscal Year 2023-24 Capital Improvement Program Commitments

CITY OF SAN JUAN CAPISTRANO
Annual Financial Report of Developer Impact Fees
Pursuant to Government Code Section 66006
(AB 1600 Report)
As of June 30, 2023

		Park In-Lieu Fee (Fund 11)	Drainage Fee (Fund 12)	CCFP (Fund 18)	Housing In-Lieu Fee (Fund 33)
Beginning Fund Balance (Available)	6/30/2022	\$ 4,083,727	\$ (196,053)	\$ 11,436,057	\$ 808,677
<u>Developer Fees & Other Sources:</u>					
Developer fees		688,827	10,976	1,491,154	6,538,091
Interest Income		72,968	-	193,866	96,109
Grants		-	-	-	-
Loan Repayment		-	-	-	-
Other Developer Contributions		197,850	-	-	-
Total Sources		959,645	10,976	1,685,019	6,634,200
<u>Expenditures & Other Uses:</u>					
Eligible Expenditures (per attached list)		87,559	-	18,484	1,313,212
Total Uses		87,559	-	18,484	1,313,212
Ending Fund Balance (Available)	6/30/2023	\$ 4,955,813	\$ (185,077)	\$ 13,102,592	\$ 6,129,665
<u>Five Year Revenue Test</u>					
Fiscal Year 2018-2019		\$ -	\$ 53,159	\$ 681,018	\$ -
Fiscal Year 2019-2020		2,000,000	1,075	196,798	-
Fiscal Year 2020-2021		652,500	3,449	468,576	-
Fiscal Year 2021-2022		1,233,052	61,012	2,026,236	519,295
Fiscal Year 2022-2023		959,645	10,976	1,685,019	6,634,200
Total Received For The Five Years Ended 6/30/2023		\$ 4,845,197	\$ 129,671	\$ 5,057,647	\$ 7,153,495
Ending Fund Balance in Excess of Total Receipts of Last Five Years		\$ 110,616	\$ -	\$ 8,044,946	\$ -
Committed to Capital Projects - Fiscal Year 2023-24		\$ 1,029,897	\$ -	\$ 550,000	\$ -
Amount in Excess of Allowed Deposits		\$ -	\$ -	\$ 7,494,946 ⁽¹⁾	\$ -

Notes:

⁽¹⁾ \$15.4 million of CCFP funds are required to complete construction of the La Novia Bridget Widening Project (CIP 24106), which is expected to be completed in Fiscal Year 2029-30. The excess amount is being retained for that project.

**City of San Juan Capistrano
Capital Projects Funded from
Developer Fees
FY 2022/23**

Project No.	Description	FY 2022/23 Final Budget	FY 2022/23 Actual	FY 2022/23 % Completed
<u>Park-In-Lieu Fee Projects</u>				
07204	City-wide Trail Improvements	\$ 109,897	\$ -	0.0%
09203	Citywide Playground Upgrades	50,000	-	0.0%
09209	Northwest Open Space Community Park	165,449	887	0.5%
17202	Eastern Open Space Trails A and A-1	206,565	-	0.0%
18201	Cook La Novia Park Picnic Area Enhancements	50,949	-	0.0%
23301	Montanez Adobe Refurbishment	54,000	-	0.0%
21201	Skateboard Park	3,810,692	53,423	1.4%
22201	Cook La Novia Park Pickleball Courts Conversion	63,677	33,249	52.2%
22202	Stonefield Park Synthetic Turf	300,000	-	0.0%
Total - Parks & Recreation Projects		<u>\$4,811,229</u>	<u>\$ 87,559</u>	<u>1.8%</u>
<u>Drainage Fee Projects</u>				
No Projects				
Total - Drainage Projects		<u>\$ -</u>	<u>\$ -</u>	<u>0.0%</u>
<u>Capistrano Circulation Fee Program (CCFP) Projects</u>				
07117	San Juan Creek Rd Underpass - Valle Rd to Camino Capistrano	\$2,400,684	\$ -	0.0%
14103	Camino Las Ramblas @ I-5 Traffic Signal	291,440	-	0.0%
14107	Ortega Highway Widening Project (managed by Caltrans)	333,004	1,571	0.5%
16102	Del Obispo Widening - Via De La Paz	14,930	-	0.0%
21103	Stonehill Traffic Signal at Lower Rosan	547,748	14,753	2.7%
24105	Traffic Signal at Calle Arroyo/La Novia	50,000	2,160	4.3%
Total-CCFP Projects		<u>\$3,637,806</u>	<u>\$ 18,484</u>	<u>0.5%</u>
<u>Housing-In-Lieu Fee Projects</u>				
22302	Permanent Supportive Housing Project	<u>\$1,313,212</u>	<u>\$ 1,313,212</u>	<u>100.0%</u>
Total - Housing In-Lieu Projects		<u>\$1,313,212</u>	<u>\$ 1,313,212</u>	<u>100.0%</u>

**Fiscal Year 2023/24 Capital Improvement Program
Revised Budget for Fee Funded Projects**

2023/24 Project Commitments

Project No.	Project Name	Park	
		In-Lieu Fee Fund 11	CCFP Fund 18
24105	Traffic Signal at Calle Arroyo and La Novia Avenue		450,000
24106	La Novia Bridge Widening Project		100,000
21201	Skateboard Park	200,000	
22202	Stonefield Park Synthetic Turf	540,000	
23301	Montanez Adobe Refurbishment	50,000	
24201	West Trabuco Creek Trail Grading and Drainage Improvements	109,897	
24202	Citywide Parks and Facilities Upgrades	130,000	
Committed to Capital Projects		<u>\$ 1,029,897</u>	<u>\$ 550,000</u>